KBC INSIGHTS | INDUSTRIAL MARKET UPDATE

Los Angeles

ECONOMY

- As of Q1 2026, the U.S. economic backdrop remains uneven, with crosscurrents across employment, inflation, consumer spending, and trade. The labor market is still holding up, with unemployment at 4.3%, but hiring momentum has softened and become more selective. Inflation pressures, which had been trending lower, are showing signs of reacceleration as higher energy prices—driven by geopolitical tensions—work their way through the system, raising operating costs for both businesses and consumers.
- Consumer activity is still expanding, but the tone has shifted. Spending is increasingly concentrated in essentials, reflecting pressure from elevated prices and borrowing costs that continue to weigh on discretionary demand. On the trade side, container volumes through the Port of Los Angeles and Port of Long Beach remain below prior-year levels. After a steep 13.0% year-over-year (YOY) decline in January, imports posted a modest 2.6% YOY gain in February; however, volumes are still down 6.0% year-to-date, highlighting a broader normalization trend rather than a true rebound.
- Within Los Angeles, the industrial market is adjusting to this more measured environment. Leasing and investment activity continue, but decisions are being made with greater selectivity and longer lead times as tenants and investors prioritize efficiency and risk management. Occupier demand persists, though tenants are approaching decisions with greater scrutiny, and a focus on efficiency over expansion. At the same time, the development pipeline is pulling back as higher construction costs, capital constraints, and policy uncertainty challenge new project feasibility.
- While uncertainty around trade policy, costs, and global conditions persists, the market is showing signs of cautious optimism, with participants positioning for stability rather than downside.

VACANCY

- Vacancy in the Los Angeles industrial market has moved through distinct cycles over the past two decades, but the recent uptrend reflects a normalization rather than structural weakness. Historically, vacancy has averaged 3.2%, with periods of softness during economic downturns—most notably rising to nearly 5.0% in the wake of the Global Financial Crisis (2009–2011). That softness gradually gave way to an extended tightening cycle, with vacancy falling well below the long-term average from 2015 through 2023 and reaching a historic low of just 1.0% in 2021 amid unprecedented demand and limited supply.
- Despite the recent increase, vacancy appears to be stabilizing. After peaking at 4.9% throughout much of 2025, the rate edged down slightly to 4.8% in Q1 2026, suggesting the market is beginning to absorb remaining space. Importantly, current vacancy levels are now in line with prior cyclical peaks and modestly above the long-term average, indicating a return to more balanced conditions rather than oversupply.

TRENDS: LOGISTICS PROPERTIES

	Q1 2025	Q1 2026	Chg YOY
Vacancy	4.6%	4.8%	▲
Net Asking Rents	$1.37	$1.29	▼
Net Absorption, SF	19K	826K	▲
Under Construction, SF	4.5M	3.1M	▼
New Deliveries, SF	781K	192K	▼

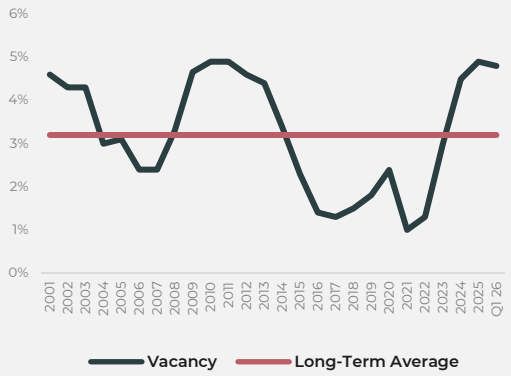
ECONOMIC INDICATORS

	Feb 25	Feb 26	Delta	
National Warehousing Employment (thousands)	1,883	1,832	-2.7%	▼

	Feb 25	Feb 26	Delta	
Port of Los Angeles/ Long Beach Imports (TEUs)	781,905	801,872	2.6%	▲

▶ Increases / Decreases YOY

VACANCY VS. LONG-TERM AVERAGE



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VACANCY CONT'D

- Sublease availability continues to move in the right direction, falling to 6.9 million square feet (M SF) in Q1 2026, down 13.0% quarter-over-quarter (QOQ) and 14.5% YOY. After reaching a high point in 2024 and experiencing some uneven movement in 2025, the market has established a clear downward trajectory since Q2 2025. The sustained decline suggests that excess space is being absorbed at a steady pace.

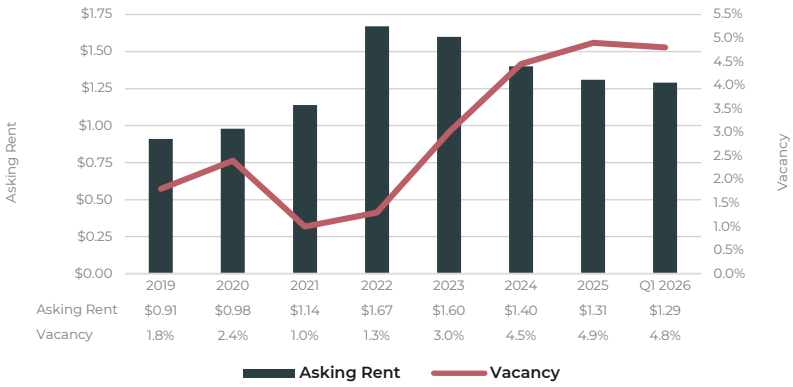
- While vacancy is likely to remain elevated in the near term, this reflects the lagged impact of the recent delivery wave rather than weakening fundamentals. Although newly completed space is actively leasing, it is being absorbed gradually, and the market is still working through remaining available inventory. As a result, vacancy may plateau before meaningfully declining, with further improvement tied to continued absorption and limited new supply.

RENT

- Asking rents have clearly moved off their peak as vacancy has risen from ultra-tight levels. After climbing from $0.87 per square foot per month (/SF/MO) in 2018 to a high of $1.70/SF/MO in Q1 2023, rents began to decline thereafter and have continued trending lower through early 2026. Asking rents averaged $1.29/SF/MO in Q1 2026, down 1.5% QOQ and down 5.8% YOY. While still above pre-pandemic levels, pricing has continued to reset as occupiers gain leverage.

- The decline in rents has closely tracked the rise in vacancy, which climbed from 1.3% in 2022 to 4.8% in Q1 2026. As more space has become available, landlord pricing power has weakened, and concessions have likely become more important in getting deals done. Even so, the pace of decline has moderated compared with the sharper repricing seen in 2023 and 2024. That suggests the market is no longer in free fall and may be moving closer to a floor, though rent growth still looks unlikely until vacancy tightens more meaningfully.

VACANCY & ASKING RENT



	2019	2020	2021	2022	2023	2024	2025	Q1 2026
Asking Rent	$0.91	$0.98	$1.14	$1.67	$1.60	$1.40	$1.31	$1.29
Vacancy	1.8%	2.4%	1.0%	1.3%	3.0%	4.5%	4.9%	4.8%

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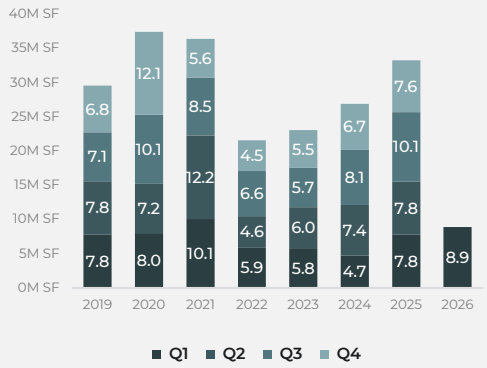
DEMAND

- Demand has begun to stabilize following an extended period of contraction, though the recovery remains uneven. Net absorption was negative throughout both 2023 and 2024, as occupiers pulled back and excess space weighed on the market. While losses persisted into 2024, the magnitude of negative absorption began to moderate by late 2024, with Q4 posting a much smaller decline of just -179,392 SF—an early sign that conditions were bottoming.
- Momentum shifted in 2025, though not without volatility. The market briefly turned positive in Q1 2025, followed by a setback in Q2 (-885,269 SF), before rebounding more meaningfully in the second half of the year. Net absorption reached 1.4M SF in Q3 and 693,941 SF in Q4, with that improvement carrying into Q1 2026 at 825,948 SF. This marks three of the past four quarters in positive territory, indicating that demand has turned a corner, even if not yet on a straight-line recovery.
- Leasing activity has been a more consistent bright spot and a leading indicator of improving demand. After averaging 5.8M SF per quarter in 2023, leasing accelerated in 2024 and remained elevated through 2025. Activity reached 8.9M SF in Q1 2026, up 14.5% YOY and the highest Q1 total since 2021, reflecting increased tenant engagement despite ongoing macro uncertainty.
- The disconnect between strong leasing and more gradual absorption gains suggests timing lags, including longer build-out periods, and phased occupancies. Still, sustained leasing momentum points to a strengthening pipeline. If this continues, it should translate into more consistent positive absorption ahead, though the pace of recovery will depend on broader economic clarity and how quickly available space is absorbed.

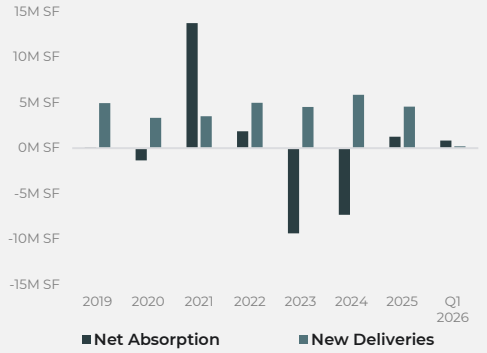
CONSTRUCTION

- Development activity has continued to trend downward, reflecting a clear pullback in new construction following the pandemic-era building cycle. Space under construction peaked at over 8.4M SF in Q3 2023 before declining steadily through 2024 and 2025. By Q1 2026, the pipeline stood at 3.1M SF, down from 4.5M SF a year earlier—a 31.5% YOY. The contraction in the pipeline highlights a more disciplined development environment as higher vacancy, softer rents, and elevated construction and financing costs have curtailed new project starts.
- Deliveries have also moderated, though with some volatility tied to project timing. After several elevated quarters in 2023 and 2024—including a spike of 2.8M SF in Q4 2023 and 2.3M SF in Q2 2024—completions slowed through 2025. Just 191,517 SF delivered in Q1 2026, marking one of the lowest quarterly totals in the cycle. This sharp decline in new supply should help the market gradually absorb existing availability, reducing upward pressure on vacancy and supporting a more balanced supply-demand dynamic heading into the latter part of 2026.

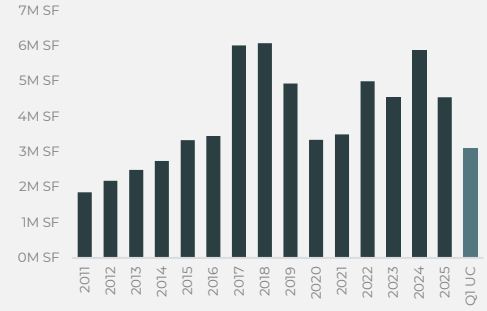
NEW LEASING ACTIVITY



SUPPLY & DEMAND



NEW SUPPLY



KBC INSIGHTS | INDUSTRIAL MARKET UPDATE

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MARKET SUMMARY Q1 2026

Submarket Cluster	Total Inventory	Vacancy Rate	Availability Rate	Q1 2026 Overall Net Absorption	2026 YTD Overall Net Absorption	2026 YTD New Leasing Activity	Under Construction	2026 YTD Construction Completions	Overall Asking Net Rent
Central Los Angeles	225,425,948	3.9%	7.4%	983,560	983,560	2,189,279	489,286	133,017	$1.10
Mid-Counties	83,489,812	8.1%	13.0%	(178,379)	(178,379)	998,629	345,893	0	$1.29
San Gabriel Valley	178,683,411	3.1%	5.3%	(613,573)	(613,573)	1,125,497	261,386	58,500	$1.18
South Bay	184,018,518	6.0%	10.2%	1,017,052	1,017,052	3,492,899	567,018	0	$1.44
North Los Angeles/Ventura	145,730,869	4.7%	7.4%	(411,362)	(411,362)	1,116,543	1,427,458	0	$1.36
Westside	9,216,098	5.3%	6.0%	28,650	28,650	174,374	0	0	$2.40
Los Angeles	**826,564,656**	**4.8%**	**8.1%**	**825,948**	**825,948**	**8,922,847**	**3,091,041**	**191,517**	**$1.29**

** Includes buildings 20,000+ SF. Renewals are not included in leasing statistics*

SIGNIFICANT LEASE TRANSACTIONS Q1 2026

Property Address	Submarket	Tenant	Square Feet	Lease Type
2401 E Wardlow Road, Long Beach	South Bay	E-Commerce Company	504,810	Direct
9361452 W Knox Street, Torrance	South Bay	APEX Logistics	442,550	Direct
2101 W Flotilla Street, Montebello	Central Los Angeles	SpeedX	326,517	Direct
19681 Pacific Gateway Drive, Torrance	South Bay	Neros	251,606	Sublease
800 230th Street, Carson	South Bay	MSI	200,892	Direct

TOP PROJECTS UNDER CONSTRUCTION Q1 2026

Property Address	Submarket	Developer	Square Feet	Completion Date
101 Logistics Center - Sakioka Drive, Oxnard	North LA	Stream Realty	737,730	Q3 2026
13147-13149 N Telfair Avenue, Sylmar	North LA	Xebec Realty	602,718	Q2 2026
7400 Slauson Avenue, Commerce	Central Los Angeles	Prologis	283,621	Q3 2026
12300 Lakeland Road, Santa Fe Springs	Mid-Counties	Prologis	185,056	Q3 2026

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